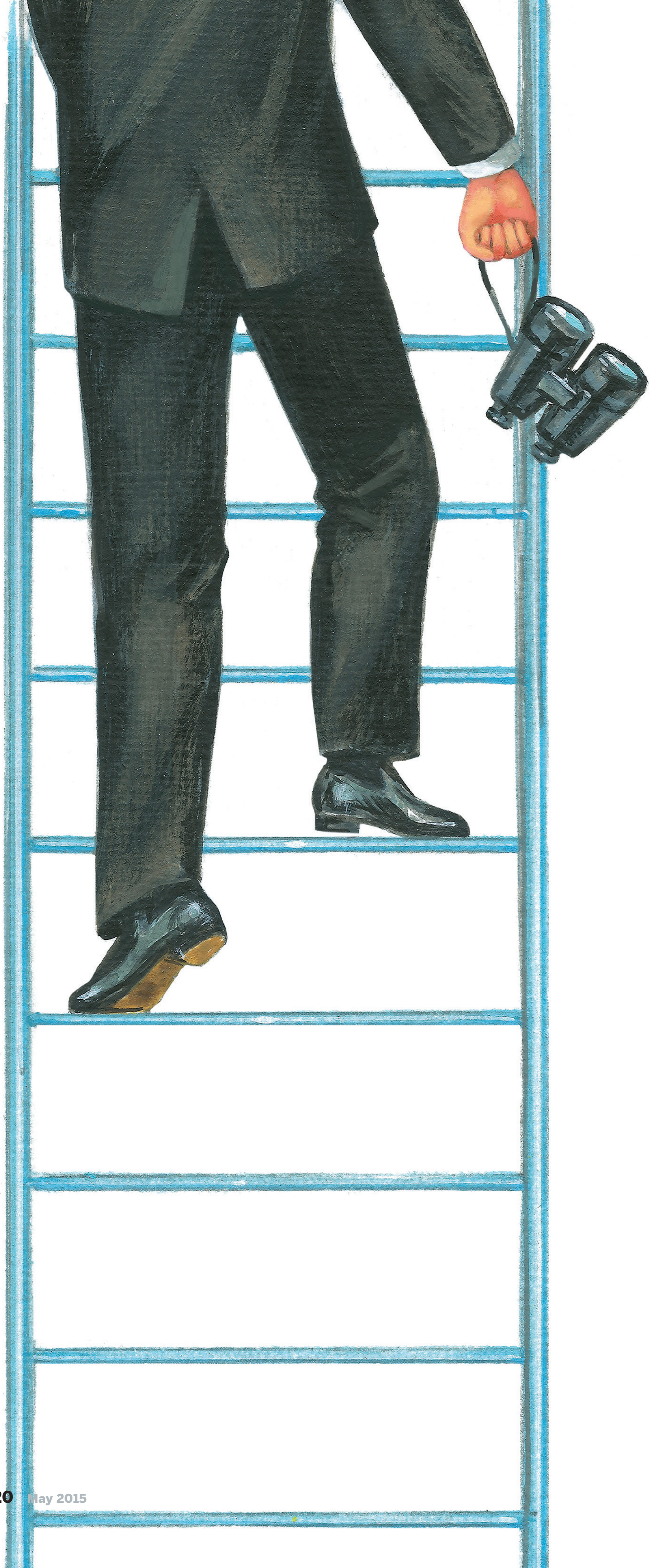
Illustrations by Evan Lee

There is still about two and a half years before HKFRS 9 ***Financial Instruments*** kicks in, but banks and other corporate entities are already facing many challenges preparing for its implementation, as Alfred Romann reports



Any new accounting standard presents its own set of challenges, but banks and financial institutions have discovered that the adoption in Hong Kong of the new International Financial Reporting Standard 9 *Financial Instruments* is particularly arduous.

For a start, the new standard, scheduled for formal application on 1 January 2018, makes significant changes to the way financial assets are measured, introduces a new model for expected credit losses and new requirements to tackle hedge accounting.

"It will require us to look at our portfolios and the data we hold about them in a different way, and will change the way we will have to explain our business and our performance to our shareholders," says Tony Bloomfield, Regional Chief Accounting Officer at HSBC and a Hong Kong Institute of CPAs member. "It is a challenging process that requires quite a bit of preparation."

According to Bloomfield, the implementation of HKFRS 9 is the most comprehensive change in accounting standards to have occurred since the implementation of IFRS in Hong Kong.

There are three main components to HKFRS 9, says Byron Khoo, Professional Practice Partner at EY in Hong Kong and an Institute member. "The first is classification and measurement of financial assets and liabilities, the second is impairment of losses associated to financial assets and the third is how it deals with hedge accounting."

International banks have multi-year projects underway to determine how best to introduce the new standard into their reporting systems before the implementation date, while smaller banks are also considering how they will be affected.

In relation to impairment of losses, Khoo says the standard requires entities to be more forward thinking and will require companies to record losses earlier and, perhaps, use more discretion. "With HKFRS 9 there is a lot more judgment and subjectivity involved," Khoo says. "Credit risk management and processes will have to be better connected… and risk modelling and data will have to be more intensively used."

The standard moves away from an incurred-loss model focused on historical data under the current HKAS 39 *Financial Instruments Recognition and Measurement* and looks ahead. It sets out a three-stage model for loss provisioning based on expected credit losses of particular instruments.

The first stage covers credit risks that have not increased significantly so companies continue to recognize 12-month expected losses. The second covers credit risks that have increased significantly from the moment when an asset is recognized, so companies move on to consider losses expected for the lifetime of the asset and gross interest. The third stage covers impaired assets with companies recognizing lifetime losses and net interest.

A significant change is that HKFRS requires entities to recognize impairment amounts equivalent to 12 months of expected losses from the first day of the issuance of an instrument. Under HKAS 39 entities did not have to recognize impairment losses until after seeing objective evidence of a loss event occurring, such as a borrower showing signs of financial difficulty.

Because HKFRS 9 requires companies to make impairment provisions in advance, some could stay away risky businesses to avoid reporting losses. "The biggest change is in the impairment model," says Gary Stevenson, Technical and Training Director at BDO in Hong Kong and an Institute member.

"A lot of people were concerned about how the banks recognized impairment losses on their loan portfolios. Basically, they were waiting until the bad news event, the triggering event, had happened, and then they would book the loss. It's what they call an incurred loss model," says Stevenson. "You tended to get the bad news very late under the old model."

The new standard also sets out new criteria for the classification and measurement of financial assets and records debt instruments using amortized costs. It also makes provisions for how the value of equity instruments is calculated.

For small- and medium-sized enterprises, the shift should be fairly straightforward because they are less likely to use complex financial instruments or hedge accounting. Larger companies, particularly banks and other financial institutions, are likely to find that compliance with the standard requires a lot of ground work.

"It will require those types of institutions to review and reclassify all of their portfolios of financial assets into three new categories for classification and measurement," says Michael Monteforte, Director, Advisory Services, and Financial Risk Management Leader at KPMG China in Hong Kong.

HKFRS 9 classifies debt instruments under the three categories of amortized costs, fair value through other comprehensive income and fair value through profit or loss. Equity instruments are always measured at fair value.

Looking to the future

The new standard simplifies the asset side by providing for two categories – amortized cost or fair value – as opposed to four at the moment. Derivatives have to be included in fair value, which could lead to more profit-and-loss volatility.

At the same time, investments in equity instruments have to be measured at fair value but companies can make a one-time choice to put forward changes in other comprehensive income from other instruments as long as they are not held for trading. If they are held for trading, then changes in fair value are presented in the profit or loss.

Although HKFRS 9 requires companies to measure the risks that they hedge more effectively, companies can designate an entire instrument or a piece of it for hedge accounting as long as they can designate and measure the risk component of a hedging instrument.

The new hedge accounting rules could also benefit some SMEs that use hedging

In with the new

The introduction of Hong Kong Financial Reporting Standard 9 *Financial Instruments* will usher in a number of changes in the way companies recognize and measure financial assets, liabilities and contracts.

HKFRS 9 is based on the International Financial Reporting Standards 9 that the International Accounting Standards Board has been introducing in stages since 2009. IAS 39 *Financial Instruments*, which IFRS 9 replaces, is generally thought of as unfriendly due to its complexities and internal inconsistencies. Some of the key changes include:

- IFRS 9 includes a new logical model to classify and measure of financial assets and liabilities in financial statements and how these should be measured going forward. The new approach is based on a single model that replaces the complex and rule-based requirements under IAS 39.
- A new approach to classify and measure financial assets and liabilities is based on a single impairment model, replacing the complex system that was a feature of earlier accounting requirements.
- IFRS 9 eliminates various categories of instruments that were available under IAS 39 including "held to maturity," "available for sale" and "loans and receivables." Instead, it focuses on categorizing instruments under either fair value or amortized costs.
- Under IFRS 9, entities have to recognize credit losses earlier. A new expected-loss impairment model is forward-looking and requires companies to account for expected credit losses when financial instruments are first recognized and to take losses into account on a timelier basis. Under IAS 39, losses were recognized after the fact, which led to a lot of criticism, especially during the global financial crisis.
- IFRS 9 overhauls reporting requirements for hedge accounting and introduces a hedge accounting model with better links to risk management activities to replace a hedge accounting model that was too complex and rule-based and was criticized as failing to reflect risk management.

for foreign currency. "Hedge accounting becomes a little more flexible when compared with the current standard," says Khoo at EY.

Many companies might have stayed away from hedge accounting in the past because the rules were too complicated. "If some companies are doing fairly big hedges and they have had difficulty getting all the hedge rules met in the past, this could be helpful to them," says Stevenson at BDO.

Rethinking a business

HKFRS 9 would have a significant impact on financial statements, even for companies not involved in banking, according to Deloitte Technical Partner William Lim, an Institute member. "Management of these entities should not be lulled into the false sense of security that HKFRS 9 will only affect financial institutions."

Monteforte at KPMG points out that three different activities will be affected by the shift to HKFRS 9. "That entails a complete reengineering of how these institutions are going to calculate their provisions and impairments," he says.

The first activity will be adapting existing credit risk rating systems or developing new systems to track and classify debt instruments or loans into one of the three stages of IFRS 9 impairments, he says. "By classifying the various instruments, firms can then decide whether to apply either a 12-month or a lifetime loss for those impairments."

The second activity is the need to develop models to calculate impairment amounts, which will require detail. Banks and other financial institutions may have to invest in new information technology and modelling systems.

Calculating expected credit losses requires firms to consider a probability-weighted outcome of the financial instruments, the time value of money and the best available forward-looking information. All these complex variables will have to be calculated for every financial instrument.

The third activity requires the re-engineering of accounting systems to enable companies to generate all the accounting entries they will need to meet the standard, including more information on valuations of financial instruments at specific points in time and recognition of credit losses even if no credit event has occurred.

Companies have to consider the difference in credit risk from the date it was recognized to the current date but some do not have that historical information. "If it is too burdensome or costly to go back in time and obtain that loan origination data, then you can make a judgment call," says Monteforte.

This allowance makes it possible for companies to classify financial assets based on this judgment call on the first year of implementation. By the second year, however, companies have to assess the credit risk on all assets. Monteforte warns that companies should be careful when making this judgment call to avoid taking a very large hit on the second year of implementation.

Sound judgment needed

Many financial institutions in China and Hong Kong already have plans to implement HKFRS 9 before the deadline at the beginning of 2018. Some have already invested time and money to have their plans in place. In its latest annual report, HSBC says that it has been assessing the impact that the new standard will have on its reporting since 2012.

For large companies, time is short, says Monteforte. "It requires a lot of things, such as changes to your credit practices, data, modelling, IT systems, accounting practices and procedures and the tools you need to actually calculate this IFRS 9 impairment."

HSBC acknowledged in its annual report that due to the complexity of the classification and measurement, impairment, and hedge accounting requirements and their inter-relationships, it is not possible at this stage to quantify the potential effects of implementing HKFRS 9.

A set of best practices has yet to evolve and there are a few areas in which judgment is required and which have a significant impact on how risks are calculated. Strong as the new standard might be, more changes are likely in the future.

The interaction of IFRS 9 with other global systems is not fully resolved, say experts. "There is a big hole," Monteforte points out. "The convergence with generally accepted accounting principles in the United States is still not done. In terms of coming up with a unified global standard the U.S. has diverged."

At the same time, there has been little discussion among banks about how the standard will interact with requirements for reserve capital set by the Bank for International Settlements under Basel III, the comprehensive prudential regulation reform measures developed by the Basel Committee on Banking Supervision designed to strengthen regulation, supervision and risk management.

"This is requiring a lot of careful thought as to how we go about this – how do we determine our expected losses," says Bloomfield at HSBC. "How do we explain divergences between what did happen and our expectations? These are all completely new concepts in the financial reporting world."

That the preparation is tough is something that even the largest entities acknowledge. "Implementation aside, some entities are already thinking about the application of the expected credit loss impairment model once HKFRS 9 comes into effect, and particularly the consequences of making a wrong judgment about expected losses or, more seriously, earnings management," says Christina Ng, Head of Financial Reporting and Standard Setting at the Institute.

Yet the standard is an improvement and well worth the effort. "HKFRS 9 reflects the economics better," says Khoo at EY. "From a financial statement user's perspective, it provides better and more useful information and more timely information." A

Key differences in classification of financial assets and liabilities

IAS 39 classification	IFRS 9 classification
Rule-based	Principle-based
Complex and difficult to apply	Classification based on business model and nature of cash flows
Multiple impairment models	One impairment model
Own credit gains and losses recognized in profit or loss for fair value option liabilities	Own credit gains and losses present in other comprehensive income for fair value option liabilities
Complicated reclassification rules	Business model-driven reclassification

Source: International Accounting Standards Board